



U.S. Customs and Border Protection

December 22, 2023

EAPA CONSOLIDATED CASE NO. 7788

PUBLIC VERSION

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RE: Notice of Determination as to Evasion

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) Investigation Consolidated (cons.) case number 7788, U.S. Customs and Border Protection (CBP) has determined there is not substantial evidence that Muller Import Inc. (Muller) and U.S. Castings Inc. (US Castings) (collectively, the Importers), entered merchandise covered by antidumping (AD) and countervailing duty (CVD) orders A-570-079 and C-570-080 on Cast Iron Soil Pipe ((CISP) *CISP Orders*),¹ nor substantial evidence that Muller is evading AD/CVD orders A-570-062 and C-570-063 on Cast Iron Soil Pipe Fittings ((CISPF) *CISPF Orders*)² (collectively, *AD/CVD Orders*), from the People's Republic of China (China) into the customs territory of the United States through evasion during the period of investigation (POI).³ Specifically, CBP determined that there is not substantial evidence that the Importers imported Chinese-origin CISP and CISPF through India via Bengal Iron Corporation (BIC).

¹ See *Cast Iron Soil Pipe from the People's Republic of China: Antidumping Duty Order*, 84 Fed. Reg. 19035 (May 3, 2019) and *Cast Iron Soil Pipe From the People's Republic of China: Countervailing Duty Order*, 84 Fed. Reg. 19039 (May 3, 2019).

² See *Cast Iron Soil Pipe Fittings from the People's Republic of China: Amended Final Determination of Sales at Less Than Fair Value and Antidumping Duty Order*, 83 Fed. Reg. 44570 (Dep't Commerce Aug. 31, 2018) and *Cast Iron Soil Pipe Fittings From the People's Republic of China*, 83 Fed. Reg. 44566, (Dep't Commerce Aug. 31, 2018).

³ The entries covered by this investigation are those entered for consumption, or withdrawn from warehouse for consumption, from December 1, 2021, through the pendency of this investigation, December 22, 2023.

I. Background & Procedural History (Pre-Interim Measures)

Allegation and Initiation

The Cast Iron Soil Pipe Institute (Alleger) filed EAPA allegations against the Importers on October 5, 2022,⁴ and on December 1, 2022, the Trade Remedy Law Enforcement Directorate (TRLED), within CBP's Office of Trade, acknowledged receipt of the properly filed Allegations.⁵ Subsequently, on December 22, 2022, CBP initiated an investigation pursuant to Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015, commonly referred to as EAPA.⁶ In its Allegations, the Alleger asserted that information available to it reasonably suggested that the Importers evaded the *AD/CVD Orders* by transshipment and failed to declare that the covered CISP and CISPF was from China. Specifically, the Allegations suggested that the Importers collaborated with BIC to transship Chinese-origin CISP and CISPF through India.

The Alleger provided evidence including trade data obtained from [name] that suggested the Importers imported products shipped from BIC to the Importers, described as CISP products or CISPF. Muller imported over 100 metric tons of cast iron "hubless" pipe and fittings, various products labeled as "CAST IRON HUBLESS PIPE FITTINGS" and "CAST IRON PRODUCTS," among other terms, from March 2021 through August 2022, and U.S. Castings imported over 100 metric tons of cast iron "NO HUB" of "HUBLESS" pipe from BIC from October 2020 through September 2022.⁷

[name] data indicated that Muller's first imports of CISP and CISPF began in February 2020, shortly after its 2019 incorporation, and it imported those products allegedly from Hicreek Plumbing Co. Ltd. (Hicreek) in Cambodia.⁸ In past EAPA investigations, CBP found that Hicreek was involved in transshipment of covered Chinese CISP and CISPF in collaboration with various Chinese exporters.⁹ After the first EAPA investigation into Hicreek, shipments of CISP and CISPF to Muller from Hicreek stopped in March 2021.¹⁰ The Allegations contend that

⁴ See the October 5, 2022, allegation letters entitled: "Cast Iron Soil Pipe: Request for an Investigation under the Enforce and Protect Act" (Muller's CISP Allegation); "Cast Iron Soil Pipe Fittings: Request for an Investigation under the Enforce and Protect Act" (Muller's CISPF Allegation) and "Cast Iron Soil Pipe: Request for an Investigation under the Enforce and Protect Act" (US Castings CISP allegation) (collectively, the Allegations). At the initiation, CBP consolidated EAPA investigations 7788, 7789 and 7790 on Muller and US Castings, respectively, into a single investigation.

⁵ See CBP December 1, 2022, emails entitled: "EAPA 7788 - Receipt of Properly Filed Allegation," "EAPA 7789 - Receipt of Properly Filed Allegation," and "EAPA 7790 - Receipt of Properly Filed Allegation."

⁶ See December 22, 2022, CBP Memorandum to the File, "Initiation of Investigation for EAPA Case Numbers 7788, 7789 and 7790 (EAPA Cons. Case 7788) – Cast Iron Soil Pipe (CISP) and Cast Iron Soil Pipe Fittings (CISPF)," (Initiation Memo).

⁷ See the Allegations at 4 and Exhibit 1.

⁸ See the Allegations at 4 and 5.

⁹ See Muller's CISP Allegation and Muller's CISPF Allegation at 5. See also EAPA Consolidated Case 7454: Blue Star Global, Inc. and Lino International Inc., Notice of Determination as to Evasion (CBP Feb. 8, 2021) at 19; EAPA Case 7455: Lino International Inc., Notice of Determination as to Evasion (CBP Feb. 8, 2021) at 15; EAPA Case 7624: Little Fireflies International Co., Notice of Determination as to Evasion (CBP Feb. 8, 2021) at 11; and EAPA Consolidated Case 7621: Granite Plumbing Products LLC, Little Fireflies International Co., and Phoenix Metal Co., Ltd., Notice of Determination as to Evasion (CBP Feb. 8, 2021) at 34.

¹⁰ *Id* at 5.

Muller began receiving shipments of cast iron products from BIC in India,¹¹ Terrifour (Dalian) Trading Co. Ltd. (Terrifour) in China, and Sibo International Limited (Sibo) of Hong Kong following CBP's investigation into Hicreek.¹²

Prior to the *CISP Orders* from China, US Castings/AccuCast¹³ imported merchandise described as "CAST IRON VALVE BOXES" from BIC in India; however, starting in August 2021 through September 2022, US Castings/AccuCast received several shipments from BIC described as cast iron hubless pipes in various sizes, which is covered by the scope of the *CISP Orders*.¹⁴

The Allegations suggested that BIC is a manufacturer of cast iron products in India, and BIC lists hubless pipe and fittings among the cast iron products it produces.¹⁵ However, the [description] pipe and fittings currently in the United States labeled as originating from BIC in India.¹⁶ The identity of the importer of this merchandise was not [description], but the photographs show that the markings on the pipe are considerably different than the markings BIC shows on its website for the pipe and fittings it produces. While the imported pipe is marked "BIC" – which allegedly stands for "Bengal Iron Corporation" – and is marked as made in India, these products are also marked with "TERIF" and identify the country of origin as China.¹⁷ The word "TERIF" is a trade name registered in the United States and the trademark is owned by Terrifour in China. During the Commerce investigation, Terrifour stated that while it is located in Zhongshan, China, it is an exporter, not a producer, of merchandise produced by Qinshui Shunshida Casting and Shanxi Chengda Special Forging, companies that are also located in China.¹⁸

The Allegor further claimed that Indian import records, [description], showed that on October 15, 2020, BIC received a shipment of a wide variety of Chinese CISP and CISPF from Terrifour.¹⁹ About 5 months later, and during the POI, BIC started shipping CISP and CISPF to Muller.²⁰ This would have provided sufficient time for BIC to reload the merchandise into a new container in India and then ship it to the United States. The Allegor asserted the available evidence reasonably suggested that pipe and pipe fittings produced in China for Terrifour were transshipped through India by BIC and mislabeled to disguise their origin to evade the *AD/CVD orders*: the pipes and fittings marked as originating in India by BIC (*i.e.*, "BIC" markings) also contained the conflicting "TERIF" mark (Terrifour is a known exporter of covered merchandise from China and Terif is its trademarked name), coupled with the [name]

¹¹ *Id.* at Exhibit 1.

¹² *Id.*

¹³ US Castings appears to also do business under the name of AccuCast Ltd. (AccuCast). Both US Castings and AccuCast are [description] by Kirit Daftary, share the same physical address and phone number, and share US Castings' website and email contact information (listed as www.accucast.us and vijay@accucastltd.com). See US Castings Allegation at 4 and Exhibit 2.

¹⁴ See US Castings Allegation at 5 and Exhibit 1.

¹⁵ See the Allegations at 5 and Exhibit 3.

¹⁶ See the Allegations at 6-7 and Exhibit 6. The source of the photos was not identified in all three allegations. See below Cargo Exam discussion.

¹⁷ *Id.* at 5-6.

¹⁸ See Muller's CISP Allegation and Muller's CISPF Allegation at 7 and Exhibit 6.

¹⁹ See the Allegations at 7-8.

²⁰ See Muller's CISP Allegation and Muller's CISPF Allegation at 7 and Exhibit 8.

data which indicate CISP and CISPF shipments were exported from Terrifour to BIC and then afterwards apparently received by Muller.²¹

The Alleger asserted that this conclusion was further supported by the connections between Terrifour and Muller, which explain why Muller would work with Terrifour to continue to import Terrifour's products into the United States. Evidence indicated that Muller is affiliated with, if not controlled by, Terrifour. Muller was registered in California in August 2019²²—after the initiation of the Department of Commerce's AD/CVD investigations into CISPF and CISP. Prior to that date, Dan Hong, the incorporator of Muller, had incorporated another company in California, TRF International Inc. (TRF), which dissolved in February 2020.²³ As mentioned above, TRF is another trademark owned by Terrifour that was registered in July 2017.²⁴ According to the Alleger, when TRF was operational, and prior to the *AD/CVD Orders*, TRF imported pipes and fittings from Terrifour in China. And, following the publication of the *AD/CVD Orders*, TRF, reconstituted as Muller, continued to import Terrifour products *via* BIC in India.²⁵

The Alleger stated that Sibio further cements a connection between Muller, TRF, and Terrifour. The Alleger provided evidence that Sibio is connected to Chinese CISP and CISPF exports to the United States and Canada, that Sibio operated out of the same Chinese address as Terrifour, that it has owners in common with Terrifour, and that Sibio uses the email address *trfhd@hotmail.com* (emphasis added) to conduct business.²⁶ The email address is significant because it incorporates the "TRF" Terrifour trademark.²⁷

Regarding US Castings/AccuCast, the Alleger provided evidence that US Castings has a relationship to a Chinese producer that also sells cast iron products, including CISP and CISPF, to BIC. The Alleger claimed that starting in March 2019 (after the publication of the *AD/CVD Orders*), BIC began to receive merchandise from Orange Golden Inc. (Orange Golden).²⁸ According to the Alleger, Orange Golden describes itself as "a professional company in US mainly import {sic} and supply {sic} cast iron pipe, fittings and no hub couplings," and states that it works "together with our Chinese Branch Golden Orange International Limited (Golden Orange International) for Global sources and marketing."²⁹ Golden Orange International is located in China and utilizes various addresses in the city of Dalian in China and Hong Kong, exporting CISP and CISPF from China (which included exports of various products to AccuCast prior to the publication of the *AD/CVD Orders*).³⁰

Therefore, the Alleger contends that the evidence reasonably suggested that BIC collaborated with Terrifour and Orange Golden to transship CISP and CISPF from China through India to

²¹ *Id.* at 8.

²² *Id.* at Exhibit 2.

²³ *Id.* at Exhibit 9.

²⁴ *Id.* at Exhibit 8.

²⁵ *Id.* at 8-9.

²⁶ *Id.* at 9-10 and Exhibits 1, and 10-17. Note Sibio was also identified as involved in other transshipment schemes involving CISP and CISPF in EAPA investigation 7454.

²⁷ See Muller's CISP Allegation at 8.

²⁸ See U.S. Castings Allegation at 8 and Exhibit 7.

²⁹ *Id.* at Exhibit 10.

³⁰ *Id.* at 8-9 and Exhibits 10-11.

Muller and US Castings to evade the *AD/CVD Orders* and avoid the payment of cash deposit rates.

In assessing the claims made and evidence provided in the Allegations, as detailed above, TRLED found that the Allegations reasonably suggested that Muller may have engaged in attempts to evade the *CISP Orders* and *CISPF Orders* by transshipping the Chinese-origin covered merchandise through India and incorrectly declaring the country origin as India on merchandise entering the United States. TRLED likewise found that the Allegation reasonably suggested U.S. Castings attempted to evade the *CISP Orders*, utilizing the same or similar evasion scheme as Muller.

CBP Form 28 (CF-28) Responses

On February 7, 2023, CBP issued CBP Form 28 (CF-28) Requests for Information (RFI) to the Importers for entry numbers [number]8544 (entry 8544) and [number]6105 (entry 6105). On February 14, 2023, CBP issued a third CF-28 for [number]7856 (entry 7856).³¹ On March 14, 2023, CBP received timely responses for entries 8544 and 6105 from Muller, including the entry summary documents, CBP Form 7501, invoice, packing list, CBP Form 3461, arrival notice / freight invoice, Sea Waybill, proof of payment, production capacity, production process flow chart, mill test report, BIC business registration, and sales contract.³²

Muller Entry 8544: CISP

For Muller Entry 8544, Muller claimed Generalized System of Preferences (GSP) for 2” hubless pipe and 4” hubless pipe on invoice [number], dated October 14, 2022, for the total amount of [number] Freight on Board (FOB) Kolkata (Calcutta). Further, for this entry, Sibio in Hong Kong was identified as the “notify party,” listing the email address as TRFHD@hotmail.com, with the attention of [name]. As detailed above in the “Initiation” section,³³ the Allegor claimed that Muller is affiliated with, if not controlled by, Terrifour and the fact that Sibio is involved in the transaction further demonstrates a connection between Muller/TRF and Terrifour.³⁴

Regarding production documentation, Muller provided limited information about BIC’s production process. While Muller provided some description of the production process and an inspection report for “produced” goods, Muller provided no information from BIC regarding its purchasing of raw materials to produce the imported products, no mill certificates for the origin of the iron used, and no production records demonstrating that BIC produced the products that were imported for this entry.³⁵

In addition, the payment information provided to CBP did not establish that BIC produced the merchandise imported. The information on Muller’s Sea Waybill suggested that the shipment

³¹ See February 7, CF-28 Requests for Information on entries 8544 and 6105; *see also* February 14, CF-28 Request for Information on entry 7856.

³² See March 14, 2023, CF-28 Responses for entries 8544 and 6105 (collectively, Muller CF-28 Responses).

³³ See Initiation Memo.

³⁴ *Id.* at 9-10 and Exhibits 1, and 10-17. Note Sibio was also identified as involved in other transshipment schemes regarding CISP and CISPF in EAPA investigation 7454.

³⁵ See Muller CF-28 response for entry 8544.

was on board SOL Progress Voyage 2217³⁶ vessel at the Calcutta port on October 26, 2022.³⁷ The CF-28 response documents also included another invoice number [number] issued by Sibio for PO number [number] in the amount of [number] to Muller for the same quantity pieces of [#] hubless pipes. Also, the proof of payment indicates that Muller paid Sibio, with payment method Cash Against Documents (CAD). This form of payment simply means that the importer (Muller) paid the shipper before the importer received the goods. However, the invoice [number] disclosed to CBP indicated that the exporter for Muller is actually BIC for a total value of [number], FOB Calcutta. A second invoice [number] was issued by Sibio, delivery term cost, insurance, and freight (CIF) LOS ANGELES for the total value of [number], which means that Muller failed to disclose [number] at entry. This was an issue because it was unclear to CBP who issued the original commercial invoice to Muller. As a result, CBP was not certain why Muller paid Sibio and not BIC, the supplier of the merchandise. In addition, Muller provided no evidence that BIC received a payment for the goods it exported to Muller for this entry.

Muller Entry 6105: CISPF

To test the validity of the classifications on products Muller is importing directly from China, CBP also requested a CF-28 for entry 6105. In this CF-28 response, the Form 7501 indicated that the goods were declared as type [#] from [name] and were classified under HTS number 7326.90.8688, which provides for articles of iron/steel, non-specified, and HTS number 8481.30.2010, which provides for iron check valves.³⁸ The Invoice number [#] and PO number [#] indicated that the shipment of January 16, 2022, is from [description]. These documents showed that the shipment consists of a bell trap, waste trap-S, backwater valve, shower drain-round head, shower drain-square head, shower drain-small round head, IBC drain w/BP and cleanout drain w/BP, with the total value of [number]. The arrival notice indicated that Sibio is the “notify party” and that the loading port was the city of Dalian, China.³⁹ While drain bodies are specifically excluded from the *CISPF Orders*, other parts of the drain that are cast iron could be covered by the orders.

According to Muller, the shipper shown on the bill of lading was [name], but the actual shipper was Terrifour. The broker stated on behalf of Muller that due to the influence of the COVID-19 pandemic on international logistics globally, the transportation capacity was very tight,⁴⁰ so it was very hard to find a container in the market. As [name] was able to get shipping space at that time, Terrifour and [name] signed an agreement on consignment of export booking.⁴¹ [name] only charged an operation fee and the payment for the goods were made to Terrifour directly. Terrifour is a trading company, and the products were bought from [description] factory.⁴² The proof of payment was posted on April 6, 2022, in the amount of [number] to Terrifour Trading.⁴³ Muller claimed that the factory is a small workshop, the management is relatively loose and informal and, as a result, it was difficult

³⁶ See Muller CF-28 Response for entry 8544.

³⁷ *Id.*

³⁸ See Muller CF-28 Response for entry 6105.

³⁹ *Id.*

⁴⁰ See March 14, 2023, broker’s email response for Muller’s entry 6105.

⁴¹ *Id.*

⁴² *Id.*

⁴³ See Muller CF-28 Response for entry 6105.

for the factory to supply daily production records. However, the factory supplied some production process photos.⁴⁴

US Castings Entry 7856: CISP

On February 20, 2023, CBP received a CF-28 response⁴⁵ from US Castings for entry 7856. US Castings' commercial invoice for [number], dated November 18, 2021, referenced in the email dated September 4, 2021, for buyer's order number [number], dated February 7, 2019, indicated that BIC is the exporter of the hub and hubless cast iron [numbers] for the total amount of [number].⁴⁶ CBP noted that the information in the section identifying "commercial invoice," "packing list," and "place of receipt" were blank, and that BIC's logo and letterhead was missing on the commercial invoice, whereas BIC's logo and letterhead was on the inspection report number [number], dated November 9, 2022. The testing report indicated that the mechanical testing occurred during October 2022 and the physical testing during October 2022, well after the goods entered the United States in February 2022.⁴⁷ Finally, the arrival notice issued by Mediterranean Shipping Company (USA) Inc. indicated that a charge of [number] for freight was not disclosed on CBP Form 7501, suggesting that another invoice(s) exists for this entry that was not provided to CBP.⁴⁸ As a result, it is unclear to CBP as to the identity of the issuer of the commercial invoice for US Castings on entry 7856.

Regarding production documentation, US Castings provided limited information about BIC's production process, including some description of the production process and an inspection report for "produced" goods. However, US Castings provided no information from BIC as to the purchasing of raw materials to produce the imported products, no mill certificates for the origin of the iron used, and no production records demonstrating that BIC produced the products that were imported for this entry. In addition, the inspection report it provided was unlikely related to the goods shipped for this entry because the date of the inspection report was after the entry date into the United States.⁴⁹

Cargo Exam for Entry 4574 Muller CISP

On March 21, 2023, in an effort to validate the allegation of transshipment, CBP conducted a cargo examination of Muller's shipment from India for entry number [number] 4574 (entry 4574) containing [number] - cast iron hubless pipe, which identified the country-of-origin as India.⁵⁰ The exam revealed that the CISP itself was marked with "BIC," which would seemingly indicate it was manufactured by BIC. However, the plastic packaging and the CISP was also marked with [name], which would indicate the involvement of [description], as

⁴⁴ See March 14, 2023, broker's email response for Muller.

⁴⁵ See February 20, 2023, CF-28 response for entry 7856 (US Castings CF-28 Response).

⁴⁶ See US Castings CF-28 Response.

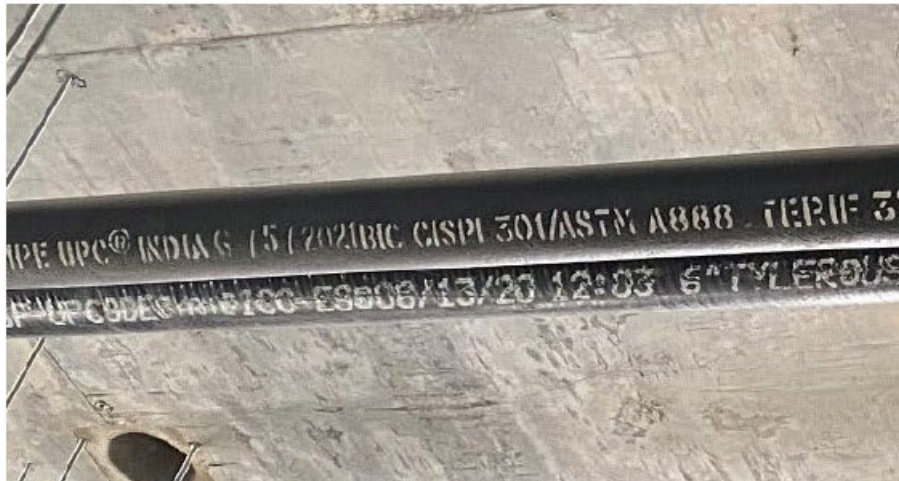
⁴⁷ *Id.*

⁴⁸ *Id.*

⁴⁹ *Id.*

⁵⁰ See cargo examination documents for Muller entry 4574, dated March 21, 2023.

discussed above. The photo from the cargo exam was similar to the photo below which was provided in all three allegations.⁵¹



II. Notice of Initiation of Investigation and Interim Measures

Based on the record evidence as of March 22, 2023—namely the lack of actual and specific production documentation/evidence in CF-28 responses that BIC produced the merchandise in the shipments, the lack of cohesive sales documentation and payment information, the dual marked merchandise on the CISP as discovered in the cargo exam by CBP, and information provided in the Allegations—CBP determined that reasonable suspicion existed that the Importers entered merchandise covered by the *AD/CVD Orders* into the customs territory of the United States through evasion. Therefore, CBP imposed interim measures on the Importers’ imports of CISP and CISPf to the United States pursuant to the investigation.⁵²

In accordance with 19 USC 1517(e)(1)-(3), CBP suspended the liquidation of each unliquidated entry of covered merchandise that entered on or after December 1, 2022, the date of the initiation of the investigation; extended the period for liquidating each unliquidated entry of covered merchandise that entered before December 1, 2022; and took additional measures necessary to protect the revenue of the United States, such as looking at requiring a single transaction bond or requiring the posting of a cash deposit with respect to covered merchandise.⁵³ On March 29, 2023, parties to the investigation were notified that CBP had commenced a formal EAPA investigation regarding the Importers and that the aforementioned interim measures had been enacted.

III. Post-CBP Enactment of Interim Measures

Requests for Information (RFI)

⁵¹ See Muller’s CISP Allegation at 6.

⁵² See CBP’s email, “EAPA Investigation Consolidated (Cons.) Case 7788: Notice of Initiation and Interim Measures,” dated March 29, 2023. See also, CBP letter, “Notice of Initiation of Investigation and Interim Measures (NOI) - EAPA Cons. Case 7788,” dated March 29, 2023.

⁵³ See 19 USC 1623 and 19 CFR 165.24(b)(1)(i)-(iii).

To provide the Importers, BIC, Sibos, [name] and Terrifour an opportunity to clarify the type of merchandise being imported to the United States, CBP issued RFI questionnaires⁵⁴ to the Importers, BIC, Sibos, [name] and Terrifour. The RFI questionnaires asked the Importers to provide information regarding any relationships they had with other companies, such as the Chinese suppliers; to provide information about their operations, including information about their suppliers' production capabilities and an explanation of the Importers' sales processes; to provide product brochures and other marketing materials; and to explain the range and types of products sold and the product codes associated with them. The RFIs issued to BIC, requested similar information as well as information regarding its production capabilities, raw material purchases, inventories, a list, and description of all significant inputs used to produce the merchandise at issue, and monthly inventory movement schedules for the most significant direct material inputs. The information sought by the RFIs was highly relevant to determining the actual manufacturer of the goods.

Muller's RFI Response

On April 12, 2023, CBP issued an RFI questionnaire to Muller, and Muller requested an extension of deadline to submit its response.⁵⁵ On May 5, 2023, CBP granted Muller's request for an extension time to submit its RFI response.⁵⁶ On May 17, 2023, CBP timely received the RFI response.⁵⁷ In its response, Muller confirmed that [date] Muller was registered as an import agency and supplies import services. Muller contends that its first importation of CISP began [date] and CISPFI [date]. Muller's owner, executive and director is [name], and the company's physical address is 1-602 No. 8 Longbinnan Street, Zhongshan District, Dalian, China.⁵⁸ Muller disclosed that it does not have any parent companies, and that Muller does not have any production facility nor any sales office, research, and development facility because its main business is providing import operation services to a middleman who has no importer number in the United States. The middleman, not Muller, finds and contacts its customers directly.⁵⁹ Muller iterated that it only provides importing services and does not set the price; however, Muller charges a service fee based on the invoice price. Also, Muller does not have any sales agreement with the ultimate customer.

Muller stated that the CISP import transactions involved BIC as a shipper/manufacturer, Muller as the consignee and Sibos as a notify party. Specifically, Sibos is the middleman that places the CISP order to BIC for production once Sibos confirms the order with its American customer. Sibos will arrange the booking with BIC and will send a Proforma Invoice and product information to confirm with Muller if it can provide its import services as well as confirm the service fee when the pipe is ready.⁶⁰ Before the container arrives at the port of destination, Sibos will send the documents for customs clearance to Muller and Muller will send them to a

⁵⁴ See CBP's RFI questionnaires: "EAPA Cons. 7788 Request for Information," dated April 12, 2023, April 13, 2023, April 24, 2023, and July 26, 2023.

⁵⁵ See CBP's April 12, 2023, emailed letter, "EAPA Cons. 7788 – Muller's RFI Questionnaire."

⁵⁶ See CBP's May 5, 2023, emailed, "EAPA 7788 - CBP Response to Extension Request."

⁵⁷ See Muller's RFI response, "EAPA Cons. Case 7788-Response to RFI" (Muller's RFI response), dated May 17, 2023.

⁵⁸ *Id.* at 3.

⁵⁹ *Id.* at 9.

⁶⁰ *Id.* at 11.

forwarder/broker. Once CBP releases the container, Sibo's customer will pick up the container directly.

As for the flow of payment, Sibo pays BIC for the CISP, and Sibo's customer in the United States pays Muller once the ultimate customer receives the CISP. Then, Muller pays Sibo after the import service is finished, should there be no outstanding issues. No cash payments are involved.

Muller was informed that Sibo was originally buying CISP from China before the *AD Order* was implemented.⁶¹ But due to the higher AD duty on Chinese CISP, Sibo changed to sourcing CISP from India instead of China. At the same time, Sibo customers did not want to directly use their names on imports of CISP. As Sibo is a Hong Kong company, it has no importer number and cannot clear customs in the United States.⁶² To continue serving its consumers and maintaining the business, Sibo cooperates with Muller who helps Sibo with the import services and charges Sibo service fees.⁶³ Muller is not involved in the sales negotiation, order confirmation, transportation or payment terms with the factory.⁶⁴ The middleman, Sibo, directly contacts BIC to communicate prices, transportation, and payment terms. Muller's only role in the transaction is negotiate the service fee with Sibo.⁶⁵

Muller stated that it also provides import services to Terrifour and charges a service fee.⁶⁶ Muller stated:

according to Sibo's comments, as the pipe is UPC approved, Terrifour, as the owner of the certificate, shall print their trademark [name] on the pipe to distinguish the brand of pipes (e.g., BIC also supplies pipe with other owner's trademark as [name] in the meanwhile). The reason why Sibo can sell pipes with Terrifour's trademark [name] is because Sibo has a signed trademark authorization agreement with Terrifour. The name or brand on the pipe is just to identify the owner of the certificate, but the country name on the pipe is to identify the origin of the country. Also, as the pipe are produced in BIC, their name/trademark [name] shall be printed on the pipe to identify the manufacturer. Although the certificate and trademark are owned by Chinese company Terrifour, it should not be used to identify the country of origin of the pipe. The main factors for determining the country of origin are the source of raw materials and the actual production in local.⁶⁷

On July 24, 2023, CBP issued a supplemental (Supp.) RFI questionnaire to obtain clarification from Muller and on July 28, 2023, CBP timely received a Supp. RFI response, which provided additional clarification about Muller's operations. Muller is an independent American registered C corporation. The U.S. address is for company registration; however, Muller's owner [name

⁶¹ *Id.* at 12.

⁶² *Id.* at 19.

⁶³ *Id.*

⁶⁴ *Id.* at Appendix 3.2—3.11.

⁶⁵ *Id.* at 12.

⁶⁶ *Id.* Appendix 3.13. for the import service agreement.

⁶⁷ *Id.* at 21.

[name] is not [name] and his physical address is [name].⁶⁸ Muller's registered address in the United States is listed on the Power of Attorney. Muller stated that the U.S. address is just for receiving mail and documents and that Muller does not have any agreement with any individual or company for the use of the U.S. address for its importer of record application and/or business.⁶⁹ "Any U.S. company (with EIN), including Muller, has the right to apply to CBP for an importer of record number through any qualified broker."⁷⁰ This is a true representation of Muller company's own intentions and does not involve any other parties."⁷¹

Additionally, CBP requested Muller to provide Bank Statements for the POI, from December 1, 2021, to present and to highlight all transactions related to the covered merchandise, including payments received from U.S. customers and/or buyers and payments sent to Sibco. Muller was not able to provide the bank statements because Muller said it does not keep such records. Muller said it provided records for transactions on the spreadsheet for each shipment.⁷²

Muller contends that its operations were largely handled via WeChat mobile application, telephone, or sometimes face-to-face. So, there are no formal correspondence records. Based on the import service agreement signed between Muller and Sibco, Muller collects the service fee. The service fee is the difference between the payments received from customer and the payments paid to Sibco. According to the information Sibco provided, Muller just realized that the payment amounts that Sibco paid to BIC is equal to the amounts of FOB invoice value for customs clearance that Sibco supplied to Muller. The payment amount (FOB) that Sibco paid to BIC is less than the invoice amounts (CIF) that Muller paid to Sibco, according to Muller's understanding, is probably because of the difference in the costs of freight and insurance.⁷³

US Castings's RFI Response

On April 12, 2023, CBP issued an RFI questionnaire to Muller.⁷⁴ On May 2, 2023, US Castings sent CBP a request to extend the RFI response submission time, and CBP granted the deadline extension to receive the RFI submission.⁷⁵ On May 17, 2023, CBP timely received the RFI response.⁷⁶ In its response, US Castings stated Mr. [name], an engineer middleman with 40 years of Foundry experience coordinates with all the foundries in Kolkata, India to process all US Castings orders. A monthly requisition of orders is emailed to [name].⁷⁷

US Castings and Accucast are owned by Kirit Daftary, who is also a president and the sole director of US Castings; specifically, 99% of AccuCast is owned by Kipnir Ltd. and 1% owned by AJIT LLC. Kirit Daftary and Pramila Daftary owns 1% of AJIT LLC.; Kipnir Ltd. or Ajit

⁶⁸ See Muller's Supp. RFI response, "EAPA Cons. Case 7788—Response to Supplemental RFI," dated July 28, 2023.

⁶⁹ *Id.* at 3.

⁷⁰ *Id.*

⁷¹ *Id.*

⁷² *Id.* at 4 and Appendix 1.

⁷³ *Id.* at Appendix 2.

⁷⁴ See CBP's April 12, 2023, emailed letter, "EAPA Cons. 7788 – US Castings' RFI Questionnaire."

⁷⁵ See CBP May 3, 2023, email, "EAPA 7788 - Extension of RFI Response Deadline."

⁷⁶ See US Castings RFI response, "Response to EAPA Cons. Case 7788 request for information," dated May 17, 2023.

⁷⁷ *Id.* at 24.

LLC affiliated persons are not involved in any development, production, sales, and distribution related to the covered merchandise.⁷⁸ Accucast works with most of the cities that manufacture and supply products to US Castings in developing City logo products, and getting products approved if required. US Castings imports city specs and generic cast iron and ductile iron product categories like manhole ring and covers, extensions for manhole covers, valve boxes & risers, frames & grates, meter box rings and lids and CISP (extensions for Dallas shorty valve boxes) from India.⁷⁹ US Castings import CISPf and accessories, pipe restraints and gate valves from China. US Castings exclusively sells only to Accucast at the import cost.⁸⁰

US Castings' financial reporting practices including all of assets, liabilities, equity, income, and expenses are done on a cash basis. US Castings does not have work-in-progress or finished goods inventories, as there is no assembly or production of CISP.⁸¹ CISP products were first imported from China in November 2015; however, around the end of 2018, post the *AD Order*, US Casting decided to source CISP from India. [name] suggested that US Castings purchase CISP from BIC, who had been supplying US Castings valve boxes and had the capability of producing the CISP with a centrifugal castings process.⁸² In the past, US Castings purchased CISP from Golden Orange International Limited beginning in 2018; however, after the imposition of the *AD Order*, imports from Golden Orange International stopped at the end of 2018. US Castings clarified that BIC is its only supplier of CISP products since December 1, 2021, onwards.⁸³

BIC's RFI Response

On April 12, 2023, CBP issued an RFI questionnaire to BIC, and BIC requested an extension of deadline to submit its response.⁸⁴ On May 5, 2023, CBP granted BIC's request for an extension time to submit its RFI response.⁸⁵ On May 12, 2023, CBP timely received the RFI response.⁸⁶

In its RFI response, BIC disclosed that it incorporated on [date] and production commenced on [date]. BIC is in the business of manufacturing cast iron products such as pipes, fittings, manhole covers and other types of castings.⁸⁷ BIC sells its products domestically and exports to nearly 20 other countries worldwide. BIC has been manufacturing CISP and CISPf since inception and sell these products primarily in India.⁸⁸ In [date], CISP production began for the U.S. market and production began in [date] for CISPf. The first U.S. market sale for CISP was in [date], and for CISPf was in [date].⁸⁹

⁷⁸ *Id.* at 7.

⁷⁹ *Id.* at 5.

⁸⁰ *Id.* at 7 and 9.

⁸¹ *Id.* at 13 and 17.

⁸² *Id.* at 22.

⁸³ *Id.* at 33.

⁸⁴ See CBP's April 12, 2023, emailed letter, "EAPA Cons. 7788 – BIC's RFI Questionnaire."

⁸⁵ See CBP's May 7, 2023, email, "EAPA 7788 - CBP Response to Extension Request," which included BIC's May 7, 2023, emailed request, "RFI for EAPA CONS. CASE 7788 – request for extension."

⁸⁶ See BIC's RFI response, "EAPA Cons. Case 7788 Response to RFI," dated May 12, 2023.

⁸⁷ *Id.* at 5.

⁸⁸ *Id.*

⁸⁹ *Id.*

BIC provided copies of the Trade License, Partnership Deed, GST Registration Certificate, and Udyam Certificate (Micro, Small & Medium Enterprises Certificate), and Importer-Exporter Code (IEC) Certificate to validate its production claims.⁹⁰

According to BIC, its manufacturing facilities consist of 2 factories: factory 1 is located at [address], which manufactures CISP, CISPF, and manhole covers, and factory 2 is located at [address], which manufactures CISP, CISPF, manhole covers, and ductile iron manhole covers.⁹¹ Due to increased sales, the commercial production in the new factory 2 unit commenced on [date] to increase production capacity and add new capabilities.⁹² The construction of the factory 2 unit includes the office building, factory shed, electric installation and machinery like centrifugal pipe casting machine, sand plant, vertical casting machine, induction furnace, shot blasting machine, cranes, pollution control equipment, molds and dies.⁹³

BIC's equipment includes [#] centrifugal casting machines along with their respective operators and labor teams to manufacture CISP, CISPF, manhole covers, and other types of castings, which are manufactured by floor molding by skilled workers.⁹⁴ BIC also manufacture ductile iron castings such as manhole covers, grates and clamps using machine molding. Supervisors and engineers are active in monitoring quality and productivity of the operators and workers.⁹⁵ Dedicated fettling teams finish the products by grinding, cutting, blasting, testing, painting, and packing.⁹⁶

BIC clarified that it does not assign any product codes to its merchandise. BIC allows US Castings to assign a product code to the products that US Castings imports. For example, [number] refers to Cast Iron Extension Pipes for Valve Box of 6" diameter and 10ft Length. Similarly, [number] refers to Cast Iron Extension Pipes for Valve Box of 6" diameter and 5ft length.⁹⁷ As for markings, BIC explained that the Terrifour company is registered with International Association of Plumbing & Mechanical Officials (IAPMO) and Terrifour has the brand approvals and brand awareness in the American market; hence, why its trade name mark is on the products. In this case, [name] is the listed company with IAPMO, and Terrifour tells IAPMO to list BIC as a manufacturer for its brand. IAPMO officials conduct quarterly inspections at the BIC factory and grant BIC permission to mark the pipes with [name] and BIC together as shown in the below photo.⁹⁸ In other words, Terrifour owns the [name] trademark and is registered with IAPMO; Terrifour gives BIC permission to use that mark on BIC-produced CISP.

⁹⁰ *Id.* at 6.

⁹¹ *Id.* at 7.

⁹² *Id.* at 16-17.

⁹³ *Id.* at 16.

⁹⁴ *Id.* at 7.

⁹⁵ *Id.*

⁹⁶ *Id.*

⁹⁷ *Id.* at 19.

⁹⁸ *Id.* at 30.

description of image

BIC indicated that the Importers instructed BIC on what markings are required on the products based on the guidelines set by IAPMO.⁹⁹ Additionally, BIC clarified that the marking [name] is requested by the Importers, and the Importers sell and market their products with [name] brand. [name] is marked on the pipe to distinguish the ownership of the UPC certificate.¹⁰⁰

Terrifour's RFI Response

On April 13, 2023, CBP issued an RFI questionnaire to Terrifour, and Terrifour requested an extension of deadline to submit its response.¹⁰¹ On May 6, 2023, CBP granted BIC's request for an extension of time to submit its RFI response.¹⁰² On May 17, 2023, CBP timely received the RFI response.¹⁰³ According to Terrifour's RFI response, on 12/12/2014, Terrifour registered its company as a trading company and not a manufacturing company based in China.¹⁰⁴ Additionally, Terrifour is not affiliated with another company and is not the subsidiary of any other company and has no parent company.¹⁰⁵ Terrifour confirmed that it is not related to Muller or US Castings; however, Terrifour does collaborate with Muller involving import services. Lin Yongfeng, manager, controls the day-to-day operations, and Lin Letian, board of directors, has the authority to approve terms of sale. The company's email is trf@terrifour.com, and it is located at 1312 No. 90 Luxun Road, Zhongshang District, Dalian, China.¹⁰⁶

Terrifour confirmed that it also is not related to Dalian Dexin. Dalian Dexin provided a booking service using its name for Terrifour goods exported to United States under an "export agency agreement" due the COVID pandemic and shortage of container space.¹⁰⁷ Terrifour began CISP and CISPf sales to the United States in 2015 and a onetime shipment sold to the Indian market in September 2020. Originally, Terrifour consisted of two shareholders, Lin Letian and Dong Ruiping. The RFI response suggested that previously, Terrifour's former shareholder, and Sibo's former director, was Lin Yongfeng and that as of October 2017, the two companies are now independent of each other.¹⁰⁸

⁹⁹ *Id.* at 34.

¹⁰⁰ *Id.* at 35.

¹⁰¹ See CBP's April 13, 2023, emailed letter, "EAPA Cons. 7788 – Terrifour's RFI Questionnaire."

¹⁰² See CBP's May 6, 2023, email, "EAPA 7788 - CBP Response to Extension Request."

¹⁰³ See Terrifour's RFI response, "Response to request for information," dated May 17, 2023.

¹⁰⁴ *Id.* at 3.

¹⁰⁵ *Id.*

¹⁰⁶ *Id.*

¹⁰⁷ *Id.* at 6.

¹⁰⁸ *Id.* at 3, 6-7.

Terrifour's accounting practices are based on accrual accounting and the normal accounting period is from January 1st through December 31st annually. According to Terrifour, there are no production records to provide since they are not a manufacturing company.¹⁰⁹ The former sales records are saved in paper documents such as the invoice, packing list, bill of lading, *etc.* These documents are kept in Terrifour offices for 1-2 years. Also, Terrifour financial transactions are outsourced to a third-party accounting consulting company and the accounting company recently underwent personnel changes; therefore, Terrifour was unable to provide the relevant financial statements and statistics in response to CBP questions.¹¹⁰

Terrifour maintained its U.S. customer's contacts from 8-9 years ago and does not have any new customers. Terrifour contends that Muller is not its customer and that Muller only provided Terrifour with import services.¹¹¹ Terrifour declared that it is not a manufacturer and does not produce or supply any CISP and CISPF to Muller, US Castings or BIC or any other companies during the POI. Therefore, Terrifour have no information to provide in the Production, Sales and Production Reconciliations sections of CBP's RFI questionnaire.¹¹²

Sibo's RFI

On July 26, 2023, CBP issued an RFI questionnaire to Sibó.¹¹³ CBP did not receive any RFI response from Sibó even though Sibó is the main player in the purchasing and paying for the CISP and CISPF transactions under investigation. Sibó communicated and placed the purchase orders to BIC and used Muller for its U.S. importer of record (IOR) role to conduct its imports of CISPs and CISPFs into the United States.

[name]'s RFI

On April 24, 2023, CBP issued an RFI questionnaire to [name].¹¹⁴ [name] did not respond to the RFI questionnaire that CBP issued to it so that CBP could validate the company's role in the importation process since the invoices were issued in [name] name.¹¹⁵

CBP Extension of Deadline for Determination as to Evasion

On September 8, 2023, CBP exercised its authority under 19 USC 1517(c)(1)(B) to extend the deadline for a determination as to evasion by 60 days, and CBP notified parties of the extension.¹¹⁶

Neither the Alleger nor the Importers submitted voluntary factual information to CBP.

On-Site Verification

¹⁰⁹ *Id.* at 8-9.

¹¹⁰ *Id.*

¹¹¹ *Id.* at 12

¹¹² *Id.* at 17-21.

¹¹³ See CBP's July 26, 2023, emailed letter, "EAPA Cons. 7788 – Sibó's RFI Questionnaire."

¹¹⁴ See CBP's April 24, 2023, emailed letter, "EAPA Cons. 7788 – [name]'s RFI Questionnaire."

¹¹⁵ See Muller CF-28 Response for entry 6105.

¹¹⁶ See TRLED emailed letter "EAPA Cons. 7788- Notice of Extension of Determination as to Evasion," dated September 8, 2023.

CBP requested and BIC invited CBP to visit its production facilities in India. On August 14, 2023, CBP provided the verification outline to parties and notified them that the scheduled verification was postponed.¹¹⁷ On September 7, 2023, CBP sent a revised verification outline to BIC before CBP officials arrived in India.¹¹⁸ CBP officials conducted an on-site verification from September 18-22, 2023.¹¹⁹ Specifically, CBP verified BIC's CISP and CISPf production by reviewing/walking through the documents for selected entries, including purchase orders, invoices, packing lists, payment information, and production records.¹²⁰ CBP traced the selected entries back to their sales, production, and accounting records by reviewing the purchase order process, receipt of raw materials, production process, and sales and export process.¹²¹ BIC's cost accounting records supported the production of the CISP that it sold.¹²² During the sales tracing process, CBP noted that [name], Sibbo's general manager located in Hong Kong, handled communications pertaining to sales and production orders.¹²³

CBP focused on verifying the relevant concerns in the Allegation, namely BIC's ability to manufacture its CISP exports to the United States during the POI. During a tour of BIC's facility, CBP observed CISP and CISPf production, raw material stock, and its foundry in use through the production process.¹²⁴

Based on CBP's review of six selected samples/walkthrough transactions and CBP's tours of BIC's manufacturing facilities, CBP determined that BIC manufactured the CISP imported by Muller and U.S. Castings for the six entries. In addition, CBP did not find any indication that the CISP/CISPf were not produced by BIC.¹²⁵ Based on statements obtained from BIC representatives and supporting documentation requested and obtained, CBP found no inconsistencies. CBP specifically determined that BIC's manufacturing facilities had the capability and capacity to produce the CISP and CISPf imported to the United States during the POI. CBP Officials visually observed on site that BIC had an appropriate number of staff working to operate the production machines on the factory floor.

CBP traced the raw materials throughout the production process, from stock-in to the finished goods out the door. BIC provided similar documentation to allow CBP to trace the materials from the seller's invoice to BIC's factory floor.¹²⁶ While at the factories, CBP officials visually did not see CISP and CISPf in the inventory destined for the United States except for one shipment that Muller returned to BIC due to the EAPA investigation. Moreover, CBP verified that the machines at the BIC facilities were purchased from China in 2020, which includes the polishing and coating machines; CBP also verified that the Indian Customs clearance documents and the invoice for the machines and the molds for 2" and 3" pipes dated back to February 11,

¹¹⁷ See CBP emailed, "EAPA Cons. 7788: Revised Verification Outline and Agenda for Bengal Iron Corp. (CBP emailed postponing verification)," dated September 7, 2023.

¹¹⁸ *Id.*

¹¹⁹ See CBP "On-Site Verification Report," dated November 9, 2023 (Site Verification Report).

¹²⁰ *Id.* at 6.

¹²¹ *Id.*

¹²² *Id.* at 7.

¹²³ *Id.* at 10.

¹²⁴ *Id.* at 3.

¹²⁵ *Id.* at 8.

¹²⁶ *Id.* at 6.

2017.¹²⁷ BIC contends that it does not know anything about Sibor and that it does not know anything about [name] other than communicating with him about the purchase order. BIC email communications with Sibor revealed that [name] used the [email] email address to communicate with BIC and that [name] identified himself as the general manager of Sibor.¹²⁸ During verification when CBP officials verbally inquired about Sibor, BIC shared very limited information, and explained that BIC does not know much about Sibor or [name], who BIC identified as their Sibor contact.¹²⁹

*Alleger's Written Arguments*¹³⁰

The Alleger contends that CBP should apply adverse inferences against the Importers in response to their less than full cooperation. For example, Muller refused to cooperate with CBP by failing to provide certain information about the exporter to CBP without a reasonable justification and by providing claims in response to CBP's questions that conflict with known information.¹³¹ As for US Castings, it provided information on only one type of covered merchandise in its responses and submitted a clearly false testing report to CBP.¹³²

The Alleger recapped factual information on the record in this case such as Muller's history with Hicreek Plumbing Co. Ltd. (Hicreek), which was involved in prior EAPA investigations and found to be evading the *AD/CVD Orders* via transshipment through Cambodia.¹³³ Muller ceased importing shipments from Hicreek when CBP investigated Hicreek's transshipments to other U.S. importers in 2020. Then, in March 2021, Muller began receiving shipments from BIC as a product of India.¹³⁴ However, these products were marked with the "TERIF" name—or even "TERIFCHINA"—a name trademarked in the United States by the Chinese company Terrifour instead of the square "BIC" logo BIC showed for its own products on its website.¹³⁵ Also, Muller previously incorporated TRF International Inc., and the TRF name was another trademark registered by Terrifour. TRF had, prior to the *AD/CVD Orders* on China, imported pipe and fittings from Terrifour in China. Moreover, Terrifour, Muller, and TRF were also all connected to another Chinese exporter, Sibor, who shared ownership, management, and an office address with Terrifour and used the email address "trfhd@hotmail.com."¹³⁶

Indian import records indicate that BIC imported CISP products from Terrifour in 2020, shortly before starting to ship products to Muller in the United States.¹³⁷ US Castings also imported CISP from BIC as well.¹³⁸ Prior to the *AD/CVD Orders* on Chinese CISP, US Castings imported

¹²⁷ *Id.* at Verification Visit Exhibit 1 at 6.

¹²⁸ *Id.* at BIC Verification Misc. Exhibit 9, page 2

¹²⁹ *Id.* at 10.

¹³⁰ See Alleger's Written Argument, "EAPA Consol. Case No. 7788, Cast Iron Soil Pipe and Cast Iron Soil Pipe and Soil Pipe Fittings from China: Submission of Written Argument," dated November 22, 2023.

¹³¹ *Id.* at 1.

¹³² *Id.*

¹³³ *Id.* at 2.

¹³⁴ *Id.*

¹³⁵ *Id.*

¹³⁶ *Id.*

¹³⁷ *Id.* at 3.

¹³⁸ *Id.*

CISP from another company in China, Orange Golden Inc.¹³⁹ BIC also received shipments in India from Orange Golden Inc.

Overall, the Alleger urges CBP to apply adverse inferences to the Importers for lack of full cooperation from the Importers and Sibbo.

Importers' Responses to Written Arguments

The Importers did not submit any written arguments; however, on December 5, 2023, U.S. Castings submitted a response to the Alleger's written arguments¹⁴⁰ asserting that "US Castings has fully cooperated with the investigation and the entire import process has been transparently explained."¹⁴¹ CBP's site verification report indicated that BIC had manufactured the covered merchandise in India without any circumvention and that there were no "material inconsistencies" found. There is no evidence of any covered merchandise originating in China being transshipped by BIC and the same has been confirmed in the verification.¹⁴² US Castings disagreed that the test report the Alleger discussed was "impossible," and said no such report has been submitted.¹⁴³ US Castings also said it clarified in its responses to CBP that none of the inspection reports submitted have an October 2022 date against a February 2022 shipment.¹⁴⁴

On December 6, 2023, Muller also submitted a response to the Alleger's written arguments¹⁴⁵ asserting that the Alleger's argument is solely based on subjective speculation and unfounded personal opinions. CBP visited BIC's facilities, and CBP compared the observations made on-site with the RFI responses to verify information placed on the administrative record. CBP did not identify any inconsistencies or concerns. The relevant facts and observations were made and recorded, and the public version of the verification report was sent to concerned parties. This is an independent, open, impartial, and comprehensive investigation and verification.¹⁴⁶

Muller also said it has fully cooperated with the investigation and the entire import process has been transparently explained. The core and focus of this investigation were to verify whether the covered CISP imported by Muller during the investigation period was produced by BIC in India or purchased from China and then transported through India to the United States.¹⁴⁷ Through CBP's on-site investigation and verification, there is no evidence to suggest that any covered merchandise originating from China was transshipped through BIC. CBP also inspected and verified the transaction records between Muller, Sibbo, and BIC.¹⁴⁸ Muller contends that no CISP were marked with the "TERIFCHINA" trademark.¹⁴⁹

¹³⁹ *Id.*

¹⁴⁰ See US Castings letter, "Response to EAPA Cons. Case 7788 Submission of Written Argument," dated December 5, 2023.

¹⁴¹ *Id.* at 3.

¹⁴² *Id.*

¹⁴³ *Id.*

¹⁴⁴ *Id.*

¹⁴⁵ See Muller letter, "EAPA Cons. Case 7788-Response to Alleger's Written Argument," dated December 6, 2023.

¹⁴⁶ *Id.* at 3.

¹⁴⁷ *Id.*

¹⁴⁸ *Id.*

¹⁴⁹ *Id.*

Moreover, Muller stated that the cooperation or non-cooperation by Sibo is of no consequence to this investigation as CBP has verified the production of all goods shipped to Muller during the POI from BIC's facility in India, without any circumvention, as stated clearly in the verification report.¹⁵⁰

CBP's Position

CBP agrees that Muller's and US Castings RFI responses left certain gaps on the record.¹⁵¹ In addition, Sibo's refusal to respond to CBP's RFI questionnaire leaves an evidentiary gap and creates concerns about the true origin of the CISP and CISPF due to lack clarity. However, because CBP thoroughly examined the manufacturing capacity at BIC on site in September 2023 for the period of investigation and did not find any major inconsistencies or proof of transshipment of Chinese-origin covered merchandise,¹⁵² there is not substantial evidence on the administrative record that can support a determination as to evasion at this time.

IV. Determination as to Evasion

Under 19 CFR 165.27(a), CBP must "make a determination based on substantial evidence as to whether covered merchandise was entered into the customs territory of the United States through evasion." "Covered merchandise" is defined by 19 CFR 165.1 as "merchandise that is subject to a CVD order... and/or an AD order." "Evasion" is defined as entering covered merchandise "into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise."¹⁵³

In conclusion, based on an examination of the totality of the information on the administrative record at the end of the investigation, including the results of the CBP verification of BIC, CBP finds that substantial evidence does not exist that the Importers entered CISP and/or CISPF into the customs territory of the United States that were manufactured in China and then transshipped through India via BIC during the period of this EAPA investigation. Although there is certain information on the record from the Allegation and from documents subsequently placed on the record that suggested the possibility of evasion, collectively this information does not amount to "substantial evidence" that the Importer's imports of CISP from India during POI should have been entered as subject to the *AD/CVD Orders* on CISP from China.

V. Actions Taken Pursuant to the Negative Determination as to of Evasion

Considering CBP's determination that there is not substantial evidence that Muller and US Castings entered covered CISP or CISPF that had been exported from BIC into the customs territory of the United States through evasion during the POI, CBP will reverse any actions taken

¹⁵⁰ *Id.*

¹⁵¹ For example, the relationship between Muller and Sibo as explained creates questions about which entity properly has the right to make entry.

¹⁵² In addition, CBP notes that at verification and via the cargo exam, CBP saw no evidence of BIC product being marked with TERIFCHINA.

¹⁵³ See 19 CFR 165.1.

with respect to entries covered by this investigation. This determination does not preclude CBP or other agencies from pursuing other enforcement actions or penalties as may be appropriate.

Sincerely,



Victoria Cho
Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
Office of Trade